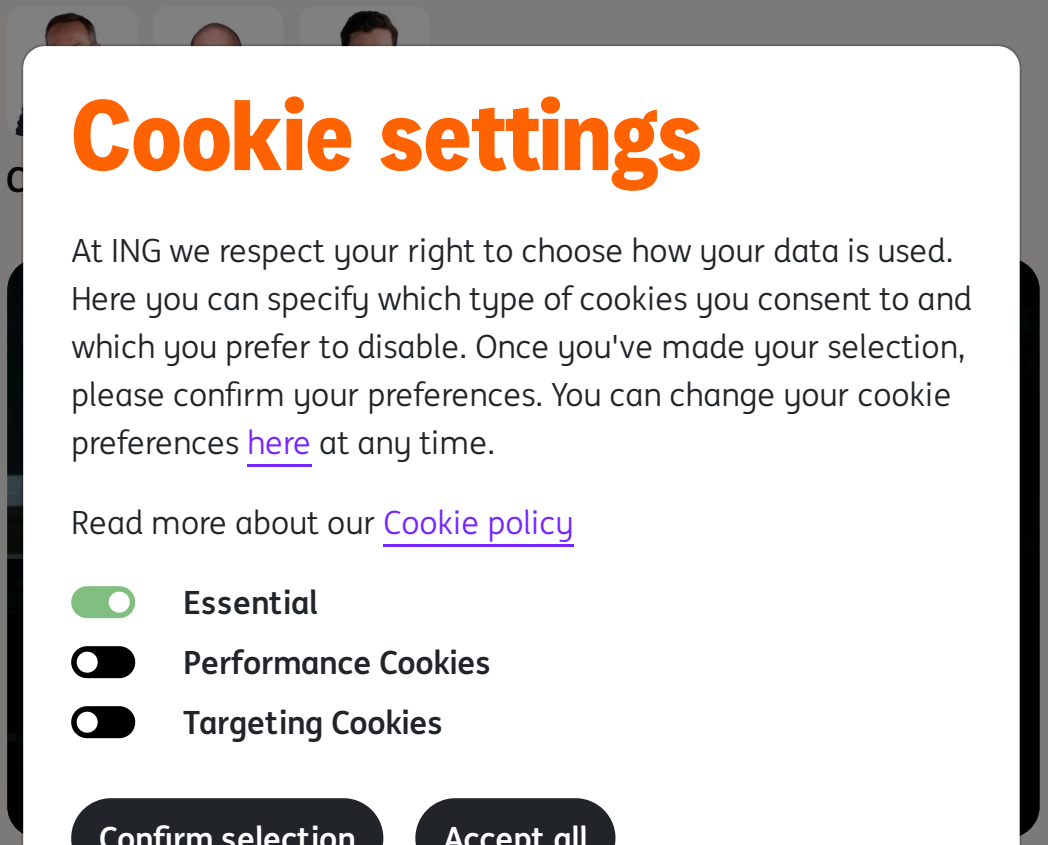
It looks like markets are going through a subtle regime shift. Higher energy prices no longer mean higher rates forever; instead, the long end is starting to express a little more fear about growth. The upcoming US midterms may also be playing a role. It looks like there is some defensive rotation underway into the Swiss franc, the yen and sterling



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USD: Midterms could be starting to play a role

Risk assets are on the back foot this European morning as energy prices stay firm and tech stocks remain fragile. On the former, a hefty risk premium remains in oil prices as attacks against Saudi Arabia continue. On the latter, Q3 results from Meta and Tesla and what they mean for capex plans are still being digested, but there clearly remains a fine line to walk. The suspicion now is that global equity investors are starting to scale back their exposure to the tech

sector and looking for more defensive plays in sectors like consumer staples, healthcare and utilities. This will favour more geographic allocation to European equities, where tech weights in benchmark indices are lower. The upcoming US midterms in early November may also play a role here, where a Democrat sweep of Congress could slow/reverse deregulation.

At the same time, we are seeing a subtle change in the rate markets. During the late summer and especially in September, higher energy prices were associated with 'higher rates forever'. The one-month USD OIS priced 10 years forward traded at 5.17% – miles away from any neutral rate near 3.50%. These views are now c d c w T f t r t V b T d C

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EUR: Hard to be constructive

EUR/USD is trading quite well despite higher energy prices and an unresolved French budget crisis. One can only conclude that the biggest market driver at the moment is the heavy and concentrated positioning in US tech and the dollar, which is being gently pared back. Expect FX traders to keep a very close watch on the short end of the US curve now. Expectations for further Fed tightening have stayed rock-solid at around +75bp over recent weeks. We think that could remain the case for the coming months and that the dollar could stay strong. But any tech wobble that

prompts a dovish re-pricing at the short-end could lead to a broader dollar correction.

There is little on the eurozone calendar today apart from the last of the ECB speakers before the blackout period commences later today. See here for a preview of next week's ECB meeting.

We do not think there is a strong case for EUR/USD to trade a lot higher. But if US tech does suffer now, a break of 1.1270/75 could open up 1.1340/50. However, we would not chase the rally. 1.13 remains our one-month forecast as outlined in this month's FX Talking.

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Chris Turner

TRY: Easing resumes as carry trade holds

We expect the Central Bank of Turkey to resume its easing cycle for the first time since the US-Iran conflict began today, cutting rates by 100bp to 36.00%. September's inflation data provided a positive signal, while developments in investment funds point to downside risks for the economy in the final quarter. The authorities' swift response appears to have contained the fund shock, with no signs of systemic risk or a sharp rise in dollarisation, while foreign inflows have resumed.

However, it may further weaken domestic demand through tighter liquidity, wealth losses and lower confidence. Repayments to smaller investors could cushion consumption, but counterparty exposures remain the main spillover risk. Inflation sentiment has improved after benign September data and expectations of weaker demand. We expect 100bp cuts in October and December, taking the policy rate to 35% by year-end, versus our 29.0% inflation forecast for year-end.

Although crowded long TRY positions offer less and less carry, they remain popular in emerging markets, and we expect this demand to persist in the coming months despite renewed rate cuts. The re
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